

Oil Rose and Energy Fell

Crude had its biggest day of the year and the sector that should have won closed lower. That gap is today's information.

THE READING

WTI settled at \$102.48, up 6.69%, after Iran attacked ten merchant ships near the Strait of Hormuz. Brent settled at \$107.63. XLE printed a fresh 52-week high during the session and closed down 0.58%, in the bottom third of its range.

The metals went the other way. Silver futures fell 5.42%, copper 4.95%, gold 1.20%. Every Treasury tenor from two years to thirty made a fresh 52-week high, the ten-year at 4.961%, and implied odds on a hike next Wednesday passed 73%. The S&P 500 fell 0.58% to 7,591.70, a fourth straight down day, on below-average volume. The VIX at 17.85 is half its 52-week high. This is not fear. It is repricing.

WHAT WISDOM WOULD SAY

Charlie Munger's standing instruction, which he took from the mathematician Carl Jacobi, was to invert — to attack a problem backwards when the forward version resists. *Man muss immer umkehren*: one must always invert. Munger applied it by asking not how to succeed but what would guarantee failure, and working back from there.

Apply that this morning. The forward question is why crude rose, and it has a ready answer: ten ships, a strait, a war 195 days old. The answer is so available that it ends the enquiry before it starts.

So invert it. Ask instead what would have to be true for the sector that owns the barrels to touch a 52-week high and then hand it back on the same tape. Two candidates. Either the market thinks the price is temporary, or it thinks the second-order effect — the rate the barrels force — costs more than the barrels earn. Silver down 5.42% on an inflation day argues for the second. That is not a story about oil. It is a story about the discount rate.

THE RISK IT JUSTIFIES

If the tape is pricing the rate rather than the barrel, then buying the commodity move through equities is buying the wrong leg of it. That argues against adding energy exposure on crude strength today, and against reading an intraday 52-week high in a sector index as confirmation when the close sits in the bottom third of the range.

It argues for leaving size where it is into the 20:30 CPI print rather than positioning ahead of it. Nine of the fourteen measurable risk ranges are trading outside their bands — three above the ceiling, six below the floor — which is a market with no stable reference to trade against. And it argues, more narrowly, for writing down before the print what a soft CPI would do to this reading, because a soft print would break it.

What would change the answer: energy equities holding a gain on a day when yields also rise. That combination would say the market has stopped treating the barrel and the rate as the same trade.

Which of the two did you actually underwrite — the barrel, or the rate?